



stands above 34%. This is the total investment. Now, certainly, the central government's capital expenditure has been rising. But some of it is being neutralised by a corresponding small decline in state-level capital expenditures. So, the bulk of this increase from 29% to 34%-plus is coming from private sources... But at the end of the day, you cannot get away from looking at the total investment and that certainly as a proportion of the GDP has steadily risen. So, that is a correction that needs to happen in the media debates. This assertion of private investment being sluggish needs correction.

On trade, I think there is clearly a looming challenge because President Trump is going to return on January 20 and he has certainly said that he is going to demand reciprocity in trade policy; and he has explicitly singled out two or three of these countries: Canada, Mexico and China. In that singling out, we have been spared so far, but he has also mentioned India in the context of reciprocity... So that is going to be a challenge. I'm not sure in what way we would handle this. Personally, to minimise the disruption in trade flows in both direc-

ment licensing and import licensing. What we did in 1991 was to end investment licensing, but even then, it was not a complete end, because small-scale industry (SSI) reservation had still not been touched... approximately 850 products, mostly labour-intensive ones, had remained off limits to larger enterprises... and that process of liberalising the SSI took us close to another 15 years. It was by 2005 that most of the products were removed and open to large-scale manufacturing. About 20-odd products were finally eliminated and the list was eliminated in 2015 by the Modi government. I mentioned this history to indicate that the process of liberalisation in a democratic system is inevitably slower. It involves a lot of consensus building. So it's still work in progress.

Our share in the world's merchandise exports is less than 2%; services it's closer to 4%, but even in merchandise we have to get to at least 4% in the next 8-10 years, if not sooner. Because compare that to China, which has about 13-14% share in merchandise exports. And it is the merchandise exports market that is large, \$25 trillion, versus services, which is about \$7 tril-

“What is forgotten in the context of targeting of the billionaires by the critics... is that by and large, the wealth does not end up in ostentatious consumption, but instead is invested”

| 137

tions, we ought to negotiate and see where we can give concessions and where we can get concessions from the US. That would be a lot better than letting the US raise its tariffs on our goods and then us reacting by raising tariffs on what we import from the US...

In the long run, the US wants to get away from China, India wants to get away from China. If both countries want to get away from China, they have no choice but to be closer to each other... I hope that both on the US and Indian sides, cooler minds prevail, and we negotiate tariffs down.

Q: Where do we stand in our progress towards a primarily outward-oriented market economy? How much more time and effort are required?

A: Reforms are an ongoing process... We often focus on the 1991 episode and celebrate that as the big-bang reform, but the fact of the matter is that in the overall scheme of things, it is hardly a big-bang reform... we were already moving in that direction of ending invest-

ment. That is also part of the work in progress. [In] our education sector, reforms are required, particularly in higher education. We are still operating under the 1956 University Grants Commission Act that needs to be replaced... that is the nature of the reform process and you cannot do it in one go... We have tried to do that with the Insolvency and Bankruptcy Code, and some of the other laws as well... we will also need to do something eventually about the Land Acquisition Act that has made building of infrastructure incredibly costly...

Q: Is there merit in the criticism that wealth is being concentrated in the private sector elite?

A: If the critics provide a road map on how this can be done better, without adversely impacting the growth process and therefore also our ability to do the redistribution... then I am all for it. But the critics never offer an alternative road map. My choice then is to have greater equality, but levelling down the rich to achieve that equality... then I'm not so sure that that's a good idea.